



**UN Climate Change COP 28
Dubai, United Arab Emirates**

**Implementation Lab
Concept Note**

**Roundtable Discussion on the Objectives of the Sustainable
Debt Coalition and a Task Force on Sustainability-Linked
Sovereign Financing for Nature and Climate**

Marrakech Partnership for Global Climate Action

December 4th, 2023
3-4pm (60 minutes)
ROOM

Organized by the Sustainable Debt Coalition and partners including UN Economic Commission for Africa, The Nature Conservancy, Sustainability-Linked Sovereign Debt Hub, NatureFinance, Institutional Investors Group on Climate Change, and the University of Oxford.

MP “Implementation Lab”: ROUNDTABLE DISCUSSION ON THE OBJECTIVES OF THE SUSTAINABLE DEBT COALITION AND A TASK FORCE ON SUSTAINABILITY-LINKED SOVEREIGN FINANCING FOR NATURE AND CLIMATE

Concept note

Description	This roundtable discussion will convene ministers of finance and other finance leaders from public and private sector to respond to the launch of the Sustainable Debt Coalition and the launch of Task Force on Sustainability-linked Sovereign Financing of Nature and Climate, showcasing domestic and international successes.
Headline	[Twenty] high-ambition borrower nations united to launch the Sustainable Debt Coalition, showcasing a roadmap from MDBs and DFIs to boost climate and nature finance for developing countries
2030 Breakthrough / SAA outcomes	This implementation lab will focus on the key financial instruments that emerging market and developing countries need, in an era of rising debt burden, to scale to deliver on climate and nature goals outlined in the 2030 Breakthroughs and the Sharm-el Sheikh Adaptation Agenda and contributing to achievement of the Paris Agreement and 30x30 targets enshrined in the Global Biodiversity Framework. Finance is critical to contributing to the outcomes of the Sharm-el Sheikh Adaptation Agenda (which outlines 20 Adaptation Outcomes to enhance resilience for 4 billion people living in the most climate vulnerable communities by 2030) and addressing Loss and Damage. 2030 Nature Finance Breakthrough notes: - By 2025, we need to scale financial mechanisms such as debt conversion for nature and sustainability-linked bonds, with the highest integrity standards and with attention to positive social, environmental and economic outcomes where the projects or jurisdictional programmes are located - By 2025, we need to increase investments in NBS for climate change mitigation and adaptation to contribute to the USD 484 billion per year needed by 2030. These efforts are crucial for the Global Stocktake’s (GST’s) focus on scaling up climate finance and ensuring that funds are directed towards effective mitigation and adaptation measures. The GST is not just a reflection of past actions but an exploration of forward-looking solutions. The event is therefore focused on highlighting innovations in credit enhancement, successful debt conversion deals, and guarantee mechanisms, alongside efforts on domestic resource mobilisation for nature and climate.
Guiding Question	What new actions must be taken to turbocharge the reform of the global debt architecture to ensure it better aligns with climate and development needs?
Targeted Outcomes	By 2023: An articulation of attendees that meeting climate finance goals cannot come without addressing challenging debt levels in developing countries, in part due to the highly interconnected nature of climate change and debt. <i>(Higher</i>

	<i>indebtedness limits a country's ability to invest in climate adaptation and mitigation. Less mitigation investment worsens climate change. Harsher climate change, alongside under-investment for adaptation systems, increases harms. These harms, including climate disasters, often bring significant financial cost, further increasing indebtedness, and so the cycle repeats.)</i> ● By 2023: Ambitious countries together take forward the priorities of the Sustainable Debt Coalition to the reform of the international debt architecture. This would help align debt policy with climate and development priorities, aiming to unlock greater access to cheaper finance for developing countries to invest in mitigation and adaptation. ● By 2025: Borrower countries actively prioritise climate-aligned debt instruments and other tools, including sustainable budgeting, with the effect of increasing access to green finance for adaptation and mitigation priorities. ● MDBs, DFIs and other relevant organisations scale ambitious credit enhancement measures, aligned with the Task Force on Credit Enhancement of Sustainability-Linked Sovereign Financing for Nature and Climate. This could include instruments like debt conversion mechanisms for climate and nature and sovereign sustainability-linked bonds, with the effect of boosting finance for the mitigation and adaptation needs of developing countries.
Objectives	This Roundtable discussion will: ● Showcase forward-looking progress to achieve breakthrough outcomes on climate finance by 2030. For example: ○ Increased discourse and political momentum on credit enhancement, including through successful debt swaps in 2023 (e.g., in Ecuador, Gabon, Peru), set up of the Global Debt Review on Nature and Climate, much accelerated discussion on scaled guarantee mechanisms, and the introduction of the Task Force on Credit Enhancement of Sustainability-Linked Sovereign Financing for Nature and Climate ○ Meaningful progress of countries using key-performance indicators in new debt issuances, for example in Rwanda. ○ Securing commitments to integrate climate-resilient debt clauses in new debt from the World Bank, UK, US, and France, and hearing developing countries ask how to bring these into contract. ○ Value from significantly elevating the theme of global financial architecture reform in 2023, including through the Paris Summit for a New Global Financing Pact, the Africa Climate Summit, the Finance in Common Summit, and the Spring and Annual Meetings of the IMF and World Bank. ○ The launch of the Sustainable Debt Coalition. ● Discuss key roadblocks to resolve these barriers. ● Garner new perspectives towards commitments from represented countries, MDBs and DFIs. ● Invite additional nations to join the Sustainable Debt Coalition, enhancing global collaboration to scale the discussed solutions. ● Invite other MDBs/DFIs and organizations to join the Joint Declaration Regarding Credit Enhancement of Sustainability-Linked Sovereign Financing for Nature &

	Climate
Session Outcomes	• Agreement from represented stakeholders to make every effort to accelerate the timeline for efforts on reforming the international debt architecture to align with climate and development priorities, aiming to unlock greater access to cheaper finance for developing countries to invest in mitigation and adaptation. • New perspectives towards commitments from represented borrower countries to prioritise climate-aligned debt instruments and other tools, increasing access to green finance for adaptation and mitigation priorities. • New commitments from represented MDBs and DFIs to increase attention towards boosting credit enhancement, providing more finance for the mitigation and adaptation needs of developing countries.
Participants	• Government representatives • International Financial Institutions • Businesses • Banks • Philanthropic organizations • Academia • Civil society and youth representatives
Key Action points out of the discussion	• Agreement from represented stakeholders to make every effort to accelerate the timeline for efforts on reforming the international debt architecture to align with climate and development priorities, aiming to unlock greater access to cheaper finance for developing countries to invest in mitigation and adaptation. • Commitments from represented borrower countries to prioritise climate-aligned debt instruments and other tools, increasing access to green finance for adaptation and mitigation priorities. • Commitments from represented MDBs, DFIs and other international institutions to boost credit enhancement, providing more finance for the mitigation and adaptation needs of developing countries.
Logistics	<i>Room layout: Round Table room</i> <i>Capacity Room 2: 96 total pax</i> • 32 seats at the inner circle table with microphones. Suggest 20-30 targeted attendees with reserved seating • 55 seats in the outer circle (overflow)

Prospective Agenda

Timing	Session Description	Speaker suggestions <i>Stakeholder group, name, title, organisation, gender, geography</i>
Facilitator: UN / Jean-Paul Adam / Director, Policy, Monitoring and Advocacy Office of the Special Adviser on Africa United Nations Secretariat) / M / Africa [CONFIRMED]		
4 mins	<i>Welcome & Introduction</i> <i>Event overview and framing question:</i> What new actions must be taken to turbocharge the reform the global debt architecture to ensure it better aligns with climate and development needs? Momentum from Bridgetown Agenda, Paris Summit for a New Global Financing Pact, the Africa Climate Summit, the Finance in Common Summit, and the Spring and Annual Meetings of the IMF and World Bank Note the Launch of the Sustainable Debt Coalition and the Task Force on Credit Enhancement of Sustainability-Linked Sovereign Financing for Nature & Climate	- Bogolo Kenewendo / Special Advisor, Africa Director, UN Climate Change High Level Champions / F/ Africa [CONFIRMED] - Civil society / Ms Jennifer Morris / Chief Executive Officer / The Nature Conservancy / F / USA [CONFIRMED]
9 mins	<i>Segment title: Opening remarks</i> - Highlight the history to the Sustainable Debt Coalition and its objectives - In setting the scene for the proceeding conversations, detail the communique released by the Coalition	- Government / H.E. Minister Maait / Minister of Finance, Egypt / M / Africa [CONFIRMED] - UN / Mr. Claver Gatete / Executive Secretary of the United Nations Economic Commission for Africa (ECA) / M / Africa [CONFIRMED] - UN / Dr Rola Dashti / Executive Secretary of the Economic and Social Commission for Western Asia / F / Asia [CONFIRMED]
18 mins	<i>Segment title: Country-case studies on advancing climate/debt solutions</i> <i>Invited presentations with one scripted follow-up question each</i> 4 min remarks on Sustainability-Linked Bonds, 2 min response to pre-scripted follow-up question 4 min remarks on Debt for Nature Swaps, 2 min response to pre-scripted follow-up question 4 min remarks on Climate-Resilient Debt Clauses, 2 min response to pre-scripted follow-up question	Moderator: UN / Dr Hanna Morsy / Deputy Executive Secretary of the United Nations Economic Commission for Africa (ECA) / F / Africa [CONFIRMED] (on SLBs) Government / H.E. Jeanine Munyeshuli / Minister of State for Public Investment and Resource Mobilization, Rwanda / F / Africa (on DfNSs) Government / H.E. Albina Ruiz Rios / Minister of Environment of Peru / F / LAC (on CRDCs) Government / Rt Hon Andrew Mitchell MP / Minister of State for Development and Africa / M / Europe

26 mins	<i>Segment title: Opportunities for partnership to further advance credit enhancement</i> 3mins - Brief summary of the Roadmap to Accelerate Sustainability-linked Sovereign Financing of Nature and Climate 20 mins - What's needed to seriously grab creditor attention on these topics? - What are the challenges / blockers and risks to scaling? - What collaboration needs to happen across systems to scale sustainability-linked sovereign financing to meet climate and nature goals? 3 mins – opportunity for individual reflection on two key takeaways from the meeting - Attendees invited to set themselves a calendar reminder on their phones for two weeks from today, once all of the business has passed. Calendar reminder should highlight two actions from this meeting. One to get in touch with someone on the panel. One about what they can tangibly do to integrate these priorities into their own work.	Moderator: UN / Justin Mundy / Senior Advisor, Sustainability-Linked Sovereign Deb Hub / M / Europe [CONFIRMED] In discussion: - MDBs / Anderson Caputo Silva, Division Chief Connectivity, Markets and Finance, IDB / M / LAC [CONFIRMED] - MDBs / Hassatou N'Sele Vice President Finance & CFO, African Development Bank Group / F / Africa [CONFIRMED] - DFI / Aparna Srivastava / Deputy Chief Climate Officer / F/ USA [CONFIRMED] - Reinsurer / Ernst Rauch, Chief Geo & Climate Scientist, Munich Re [CONFIRMED] - Youth + Academia / Hannah Walsh / Research Associate / F / Ireland [CONFIRMED]
3 mins	<i>Segment title: Next steps and Closing</i>	H.E. Dr Mahmoud Mohieldin / UN Climate Change High-Level Champions for COP27 / M / Africa [CONFIRMED]